

Kinsus Interconnect Technology (3189 TT)

 Target price: **TWD1,580.00** (from TWD1,068.00)

 Share price (6 Oct): **TWD1,070.00** | Up/downside: **+47.7%**

5 4 3 2 1


Buy
 (unchanged)

3Q26 results preview: several favourable trends ahead

- Rising high-end ABF substrate likely to drive blended ASP increase
- Multicore and optics likely to be the next growth drivers
- Reaffirming our Buy (1) call; raising 12M TP to TWD1,580

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What's new: We believe an improving product mix, driven by rising Nvidia's CPU contribution, to be a key near-term share price catalyst.

What's the impact: Near-term update. After Kinsus released its August preliminary results on 23 September, we note that we had underestimated the 3Q26E gross margin expansion on product optimisation and price hike scale. The results imply a GM of 33% in August (vs. 26% in 2Q26). We therefore lift our 3Q-4Q26E gross margin to 33.2-35.1% (from 28.9-30.3%) to reflect an improving product mix, including greater CPU substrate contribution. We believe the gross margin of high-end chipset substrate may be c.50%, supporting margin expansion. We also expect a c.10% QoQ price hike for both BT and ABF substrate in 3Q26, above Kinsus' guidance of a high-single-digit% QoQ, making these substrates the other growth driver. We see further gross margin expansion in 2027-28 on the ongoing price hike trend and increasing high-end ABF substrate product mix.

Business outlook. We believe several favourable trends lie ahead. First, we see a rising contribution from high-end GPU and CPU ABF substrates. We believe Nvidia's CPU currently accounts for 5-10% of total revenue, with Kinsus holding a 70-80% market share. We also expect Kinsus to acquire a teens% market share in AMD's Venice, which should gradually ramp up from 4Q26. These will likely become key growth drivers of the ABF substrate segment in 2027, in our view. We believe the ramp-up progress for GPU substrate for these two clients is slightly slower than that for CPU. Second, we believe Kinsus will benefit from the rising BT substrate demand for optical transceivers. In our view, migration to on-board optics (OBO) and NPO/CPO will require ABF substrate beneath the optics engine (OE) in OBO; the OE and IC will need a bigger ABF substrate as we move to the NPO/CPO generation. As such, we expect the total ABF substrate demand to increase with rising adoption of optics in AI servers. Lastly, we expect the adoption of multiple-core ABF from 2028 to improve the rigidity and transmission performance before the official launch of ceramic and glass-core substrate, which we expect to increase the ABF TAM as well.

What we recommend: We raise our 2026-28E earnings by 19-29% to reflect the better-than-expected gross margin in August. We reaffirm our Buy (1) call and raise our 12M TP to TWD1,580, based on an unchanged target PER of 36x (high end of 3-year-trading range of 10-36x), applied to the 1-year-forward EPS forecast. Key downside risks: weaker-than-expected demand for memory, PCs, gaming GPUs or AI servers.

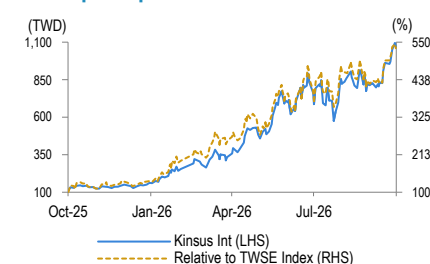
How we differ: Our 2026-28E EPS are 27-57% above the Bloomberg consensus, likely on our more bullish view on its gross margin expansion.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	1.3	-	2.2
Net profit change	29.1	28.7	18.8
Core EPS (FD) change	18.6	18.3	9.2

Source: Daiwa forecasts

Share price performance



12-month range	111.18-1,095.00
Market cap (USDbn)	17.18
3m avg daily turnover (USDm)	428.04
Shares outstanding (m)	510
Major shareholder	Asus Investment Co Ltd (13.2%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	54,062	88,448	125,676
Operating profit (m)	9,142	24,773	43,198
Net profit (m)	7,558	22,325	39,673
Core EPS (fully-diluted)	14.824	43.787	77.810
EPS change (%)	322.9	195.4	77.7
Daiwa vs Cons. EPS (%)	29.1	57.1	46.7
PER (x)	72.2	24.4	13.8
Dividend yield (%)	0.3	0.4	0.4
DPS	3.5	4.5	4.5
PBR (x)	11.6	8.1	5.3
EV/EBITDA (x)	30.7	15.1	8.8
ROE (%)	15.2	32.4	40.0

Source: FactSet, Daiwa forecasts

Kinsus: revenue and earnings forecast revisions

(TWDm)	2026E			2027E			2028E		
	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	53,385	54,062	53,912	88,484	88,448	80,794	122,920	125,676	120,243
Diff (%)		1.3%	0.3%		0.0%	9.5%		2.2%	4.5%
Gross Margin (%)	27.0%	29.65%	27.3%	35.6%	40.5%	33.7%	43.2%	46.37%	38.5%
Operating profit	7,578	9,142	7,907	20,449	24,773	18,170	38,330	43,198	32,345
Op Margin (%)	14.2%	16.9%	14.7%	23.1%	28.0%	22.5%	31.2%	34.4%	26.9%
Net profit	5,855	7,558	5,857	17,344	22,325	14,212	33,395	39,673	27,051
EPS	12.50	14.82	11.49	37.02	43.79	27.87	71.29	77.81	53.06
Diff (%)		18.6%	29.1%		18.3%	57.1%		9.2%	46.7%

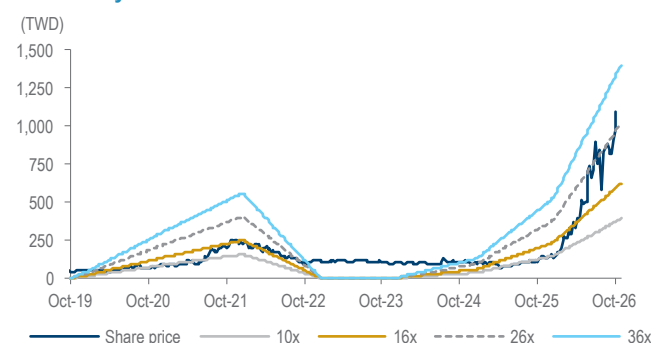
Source: Bloomberg, Daiwa forecasts

Kinsus: quarterly and annual P&L statement

(TWDm)	2026E				2027E				2025	2026E	2027E	2028E
	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE				
Net revenue	11,105	12,496	14,539	15,922	18,046	21,099	23,941	25,361	39,351	54,062	88,448	125,676
COGS	(8,755)	(9,235)	(9,716)	(10,326)	(11,304)	(12,750)	(14,067)	(14,480)	(31,037)	(38,032)	(52,601)	(67,397)
Gross profit	2,349	3,261	4,824	5,596	6,743	8,349	9,874	10,881	8,314	16,030	35,847	58,279
Operating expenses	1,459	1,582	1,841	2,006	2,274	2,637	2,993	3,170	5,645	6,888	11,074	15,081
Operating profit	891	1,679	2,983	3,590	4,469	5,712	6,881	7,711	2,670	9,142	24,773	43,198
Non-operating profit	74	106	88	90	89	84	90	92	417	358	354	359
Pre-tax profit	964	1,784	3,071	3,680	4,558	5,796	6,971	7,803	3,087	9,499	25,127	43,557
Income taxes	(89)	(101)	(174)	(208)	(258)	(328)	(394)	(441)	(370)	(571)	(1,420)	(2,462)
Net profit	549	1,311	2,586	3,112	3,986	5,132	6,230	6,978	1,596	7,558	22,325	39,673
Net EPS (TWD)	1.17	2.57	5.07	6.10	7.82	10.06	12.22	13.69	3.5	14.8	43.8	77.8
Operating Ratios												
Gross margin	21.2%	26.1%	33.2%	35.1%	37.4%	39.6%	41.2%	42.9%	21.1%	29.7%	40.5%	46.4%
Operating margin	8.0%	13.4%	20.5%	22.5%	24.8%	27.1%	28.7%	30.4%	6.8%	16.9%	28.0%	34.4%
Pre-tax margin	8.7%	14.3%	21.1%	23.1%	25.3%	27.5%	29.1%	30.8%	7.8%	17.6%	28.4%	34.7%
Net margin	4.9%	10.5%	17.8%	19.5%	22.1%	24.3%	26.0%	27.5%	4.1%	14.0%	25.2%	31.6%
YoY (%)												
Net revenue	29%	31%	40%	47%	63%	69%	65%	59%	29%	37%	64%	42%
Gross profit	21%	62%	146%	134%	187%	156%	105%	94%	-4%	93%	124%	63%
Operating profit	78%	171%	375%	290%	402%	240%	131%	115%	144%	242%	171%	74%
Pre-tax profit	38%	188%	331%	249%	373%	225%	127%	112%	93%	208%	165%	73%
Net profit	99%	288%	662%	384%	626%	292%	141%	124%	3164%	374%	195%	78%
QoQ (%)												
Net revenue	3%	13%	16%	10%	13%	17%	13%	6%				
Gross profit	-2%	39%	48%	16%	20%	24%	18%	10%				
Operating profit	-3%	88%	78%	20%	24%	28%	20%	12%				
Pre-tax profit	-9%	85%	72%	20%	24%	27%	20%	12%				
Net profit	-14%	139%	97%	20%	28%	29%	21%	12%				

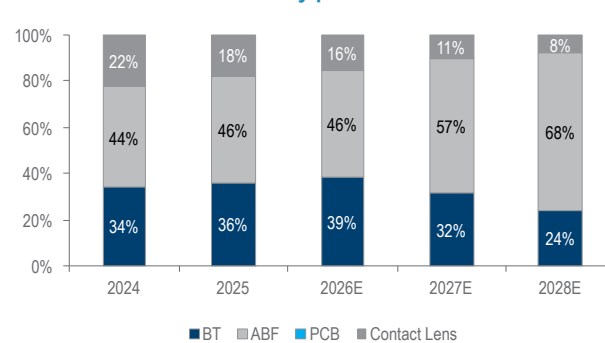
Source: Company, Daiwa forecasts

Kinsus: 1-year forward PER bands



Source: TEJ, Daiwa forecasts

Kinsus: revenue breakdown by product



Source: Company, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Global PC shipment (mn)	361	301	260	263	287	244	244	244
Regular server shipment (mn)	14	15	12	14	16	18	22	26
Global smartphone shipment (mn)	1,655	1,437	1,380	1,437	1,429	1,249	1,255	1,300

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
ABF	10,191	16,526	11,978	13,319	17,998	24,558	48,820	82,562
BT	17,565	18,796	8,065	10,398	14,314	21,234	30,530	33,105
Other Revenue	5,580	6,336	6,790	6,817	7,039	8,271	9,098	10,008
Total Revenue	33,336	41,658	26,832	30,535	39,351	54,062	88,448	125,676
Other income	0	0	0	0	0	0	0	0
COGS	(22,583)	(25,771)	(20,075)	(21,867)	(31,037)	(38,032)	(52,601)	(67,397)
SG&A	(2,879)	(3,532)	(3,301)	(5,010)	(3,433)	(4,241)	(6,960)	(9,312)
Other op. expenses	(2,413)	(2,484)	(2,397)	(2,612)	(2,212)	(2,647)	(4,114)	(5,769)
Operating profit	5,456	9,851	1,042	1,095	2,670	9,142	24,773	43,198
Net-interest inc./(exp.)	(68)	(172)	(332)	(394)	(391)	(336)	(356)	(350)
Assoc/forex/extraord./others	253	607	716	902	809	694	710	709
Pre-tax profit	5,641	10,287	1,426	1,603	3,087	9,499	25,127	43,557
Tax	(672)	(2,158)	(256)	(272)	(370)	(571)	(1,420)	(2,462)
Min. int./pref. div./others	(633)	(957)	(1,123)	(1,282)	(1,121)	(1,370)	(1,381)	(1,422)
Net profit (reported)	4,336	7,172	48	49	1,596	7,558	22,325	39,673
Net profit (adjusted)	4,336	7,172	48	49	1,596	7,558	22,325	39,673
EPS (reported)(TWD)	9.622	15.901	0.105	0.108	3.505	14.824	43.787	77.810
EPS (adjusted)(TWD)	9.622	15.901	0.105	0.108	3.505	14.824	43.787	77.810
EPS (adjusted fully-diluted)(TWD)	9.622	15.901	0.105	0.108	3.505	14.824	43.787	77.810
DPS (TWD)	4.500	6.476	1.000	1.000	1.518	3.500	4.500	4.500
EBIT	5,456	9,851	1,042	1,095	2,670	9,142	24,773	43,198
EBITDA	9,833	14,958	6,394	7,228	9,914	17,313	33,761	53,085

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	5,641	10,287	1,426	1,603	3,087	9,499	25,127	43,557
Depreciation and amortisation	4,377	5,107	5,351	6,133	7,244	8,171	8,988	9,887
Tax paid	(672)	(2,158)	(256)	(272)	(370)	(571)	(1,420)	(2,462)
Change in working capital	(1,347)	(176)	1,528	(906)	(1,959)	(3,452)	(2,982)	(3,707)
Other operational CF items	2,575	2,901	(1,793)	1,147	91	(634)	0	0
Cash flow from operations	10,574	15,961	6,256	7,705	8,093	13,013	29,713	47,274
Capex	(13,384)	(17,094)	(10,136)	(10,408)	(6,117)	(7,832)	(5,483)	(3,838)
Net (acquisitions)/disposals	0	0	0	0	0	0	0	0
Other investing CF items	489	559	(2,351)	1,301	(1,752)	(2,374)	(44)	(85)
Cash flow from investing	(12,895)	(16,535)	(12,486)	(9,107)	(7,869)	(10,206)	(5,526)	(3,922)
Change in debt	6,544	1,903	6,043	1,624	(1,684)	(8,891)	0	(45)
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(451)	(2,443)	(3,438)	(454)	(457)	(774)	(1,785)	(2,294)
Other financing CF items	(94)	2,411	2,730	(173)	(1,130)	8,625	0	0
Cash flow from financing	6,000	1,870	5,335	996	(3,270)	(1,041)	(1,785)	(2,340)
Forex effect/others	(12)	56	(88)	71	(39)	51	39	35
Change in cash	3,667	1,352	(983)	(335)	(3,084)	1,817	22,441	41,047
Free cash flow	(2,809)	(1,133)	(3,880)	(2,703)	1,976	5,181	24,230	43,436

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	15,968	17,923	21,013	16,676	16,336	21,188	43,628	84,676
Inventory	3,466	3,481	2,612	2,981	4,828	6,237	8,747	10,924
Accounts receivable	5,679	5,050	4,299	5,284	6,804	10,300	16,405	22,824
Other current assets	1,312	1,647	1,445	4,735	970	1,080	1,080	1,080
Total current assets	26,424	28,100	29,369	29,677	28,938	38,804	69,860	119,503
Fixed assets	31,586	44,101	48,209	49,658	50,897	51,643	48,138	42,089
Goodwill & intangibles	0	0	0	0	0	0	0	0
Other non-current assets	376	432	489	100	138	434	478	562
Total assets	58,386	72,633	78,067	79,435	79,973	90,882	118,476	162,154
Short-term debt	1,100	377	1,409	2,452	3,053	915	915	869
Accounts payable	10,150	10,798	8,457	7,521	10,030	14,004	19,638	24,526
Other current liabilities	2,733	4,199	4,393	7,018	7,023	5,571	5,571	5,571
Total current liabilities	13,983	15,374	14,259	16,990	20,106	20,490	26,124	30,966
Long-term debt	9,387	10,770	15,280	13,779	11,197	6,219	6,219	6,219
Other non-current liabilities	2,027	7,674	9,369	8,788	7,297	6,318	6,318	6,318
Total liabilities	25,397	33,818	38,908	39,557	38,600	33,027	38,661	43,503
Share capital	4,508	4,528	4,544	4,566	4,568	5,269	5,269	5,269
Reserves/R.E./others	28,481	34,288	34,615	35,312	36,805	52,585	74,546	113,382
Shareholders' equity	32,989	38,816	39,159	39,878	41,373	57,854	79,815	118,651
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	58,386	72,633	78,067	79,435	79,973	90,882	118,476	162,154
EV	540,075	538,779	541,231	545,110	543,470	531,501	509,061	467,968
Net debt/(cash)	(5,481)	(6,776)	(4,325)	(445)	(2,085)	(14,054)	(36,495)	(77,588)
BVPS (TWD)	64.478	75.804	69.748	69.314	71.656	92.357	131.414	202.420

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	23.0	25.0	(35.6)	13.8	28.9	37.4	63.6	42.1
EBITDA (YoY)	70.8	52.1	(57.3)	13.1	37.1	74.6	95.0	57.2
Operating profit (YoY)	307.0	80.6	(89.4)	5.1	143.7	242.4	171.0	74.4
Net profit (YoY)	700.2	65.4	(99.3)	2.9	3,164.4	373.6	195.4	77.7
Core EPS (fully-diluted) (YoY)	698.1	65.3	(99.3)	2.5	3,153.4	322.9	195.4	77.7
Gross-profit margin	32.3	38.1	25.2	28.4	21.1	29.7	40.5	46.4
EBITDA margin	29.5	35.9	23.8	23.7	25.2	32.0	38.2	42.2
Operating-profit margin	16.4	23.6	3.9	3.6	6.8	16.9	28.0	34.4
Net profit margin	13.0	17.2	0.2	0.2	4.1	14.0	25.2	31.6
ROAE	13.9	20.0	0.1	0.1	3.9	15.2	32.4	40.0
ROAA	8.6	10.9	0.1	0.1	2.0	8.8	21.3	28.3
ROCE	14.0	21.1	2.0	2.0	4.8	15.2	32.6	40.6
ROIC	19.9	26.1	2.6	2.4	6.0	20.7	53.7	96.6
Net debt to equity	net cash	net cash	2.5	4.6	4.8	net cash	net cash	net cash
Effective tax rate	11.9	21.0	17.9	17.0	12.0	6.0	5.7	5.7
Accounts receivable (days)	55.2	47.0	63.6	57.3	56.1	57.7	55.1	57.0
Current ratio (x)	1.9	1.8	2.1	1.7	1.4	1.9	2.7	3.9
Net interest cover (x)	84.0	61.0	5.3	5.1	8.9	29.3	71.6	125.5
Net dividend payout	52.6	41.9	909.2	909.2	43.2	23.5	10.3	5.8
Free cash flow yield	n.a.	n.a.	n.a.	n.a.	0.4	0.9	4.4	8.0

Source: FactSet, Daiwa forecasts

Company profile

Kinsus was founded in 2000 as a subsidiary of Asustek. The company mainly focus on niche ball grid array (BGA) substrates to avoid price competition among mainstream products like graphics card and chipsets, and it has become top-3 flip chip manufacturer in global. Besides, its manufacturing sites are based in Taiwan and mainland China.

ESG analysis

ESG risks

Risks	Management	Analyst comments	
G	Executive/board quality	2	Kinsus's leadership team comprises experienced professionals dedicated to steering the company towards sustainable growth. This diverse board composition ensures a comprehensive range of expertise and perspectives, contributing to Kinsus's strategic decision-making and corporate governance.
	Capital management	2	Kinsus maintains a robust financial framework, ensuring the availability of resources necessary for operational efficiency and strategic investments. The company's financial health is regularly disclosed through annual reports, providing transparency to stakeholders.
	Related party & transaction	1	The company adheres to stringent corporate governance policies to manage related party transactions, ensuring transparency and compliance with regulatory standards. The company discloses such transactions in its financial reports, maintaining accountability and stakeholder trust. For instance, the company's annual general meeting documents provide details on related party transactions, ensuring transparency and accountability.
S	Supply chain management	1	Kinsus is committed to sustainable supply chain practices, emphasizing environmental, social, and governance considerations. The company has established comprehensive ESG policies, including commitments to labor standards, environmental health and safety, ethics, and conflict-free minerals. These policies guide the company's interactions with suppliers and partners, promoting sustainability throughout the supply chain.
E	Data security	3	The company recognizes the importance of information security in its operations. As part of its corporate governance framework, Kinsus is likely to implement standard data protection practices to safeguard sensitive information and ensure compliance with relevant regulations. Stakeholders are encouraged to consult the company's official communications or contact the company directly for detailed information on data security policies.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 31 Jan 2026

Source: Daiwa, Company

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
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Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.

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